DATED 27 JUNE 2025

(1) VERIDIAN PHOTONICS LIMITED

and

(2) MARRICK DEFENCE SYSTEMS PLC

PATENT AND KNOW-HOW LICENCE AGREEMENT

relating to the Veridian Quantum Inertial Sensing patent family

Whitfield Carter LLP
22 Bishopsgate, London EC2N 4BQ
Ref: SW/JO/Lyra/00197

THIS AGREEMENT
is made on **27 June 2025** (**Effective Date**).

PARTIES

(1) **VERIDIAN PHOTONICS LIMITED**, a company incorporated in England and Wales with registered number 11842207 whose registered office is at Eagle House, 14 Cambridge Science Park, Cambridge CB4 0FQ (the **Licensor**); and

(2) **MARRICK DEFENCE SYSTEMS PLC**, a company incorporated in England and Wales with registered number 03987650 whose registered office is at Marrick House, Pinewood Business Park, Farnborough GU14 7BF (the **Licensee**),

each a "Party" and together the "Parties".

BACKGROUND

(A) The Licensor has developed and owns certain patents, patent applications and associated technical know-how relating to chip-scale quantum inertial sensors employing cold-atom interferometry for navigation in GNSS-denied environments.

(B) The Licensee designs, manufactures and integrates navigation, guidance and avionics systems for defence and aerospace customers and wishes to incorporate the Licensor's technology into its products within the Field.

(C) The Parties entered into a mutual non-disclosure agreement dated 4 February 2025 and non-binding heads of terms dated 11 March 2025. The Licensor has agreed to grant to the Licensee a licence of the Licensed IP, and the Licensee has agreed to take such licence, on the terms and conditions set out in this Agreement.

AGREED TERMS

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement, the following definitions apply:

"Affiliate" means in relation to a party, any entity that directly or indirectly Controls, is Controlled by, or is under common Control with, that party from time to time;

"Background IP" means all Intellectual Property Rights owned or controlled by a party as at the Effective Date or developed by it independently of this Agreement;

"Business Day" means a day other than a Saturday, Sunday or public holiday in England when banks in London are open for business;

"Control" means the ownership of more than 50% of the voting share capital of an entity or the ability to direct its affairs, and "Controlled" is construed accordingly;

"Field" means the design, development, manufacture, integration, marketing and supply of inertial navigation and guidance systems for defence, aerospace and government applications, but excluding any consumer, automotive or mass-market mobile-device application;

"Improvements" means any modification, enhancement, adaptation or development of the Licensed Technology made, conceived or reduced to practice by or on behalf of either party during the Term, whether or not patentable;

"Intellectual Property Rights" means patents, utility models, rights to inventions, copyright and related rights, trade marks, goodwill, rights in designs, database rights, rights in confidential information (including know-how) and all other intellectual property rights, in each case whether registered or unregistered and including all applications and rights to apply for and be granted such rights;

"Licensed IP" means the Licensed Patents and the Licensed Know-How;

"Licensed Know-How" means the technical information, data, processes, designs, specifications and trade secrets relating to the Licensed Technology and listed in Part 2 of

Schedule 1, together with any further know-how disclosed by the Licensor to the Licensee under this Agreement;

"Licensed Patents" means the patents and patent applications listed in Part 1 of Schedule 1, together with all continuations, divisionals, reissues, extensions and foreign equivalents thereof;

"Licensed Products" means any product within the Field that is made, used or sold by the Licensee or its permitted sub-licensees and that incorporates, embodies or is made using any of the Licensed IP;

"Licensed Technology" means the Veridian chip-scale quantum inertial sensing technology described in Schedule 1;

"Minimum Annual Royalty" means the minimum royalty amount specified in clause 5.4;

"Net Sales" means the gross amounts invoiced by the Licensee and its sub-licensees for Licensed Products, less the following to the extent actually borne and separately stated: (a) trade and quantity discounts actually allowed; (b) credits for returns; (c) sales, excise and value added taxes; and (d) carriage, packing and insurance charged to customers;

"Quarter" means each period of three consecutive months ending on 31 March, 30 June, 30 September and 31 December;

"Royalty Rate" means the percentage rate specified in clause 5.3;

"Term" means the term of this Agreement determined in accordance with clause 12.1;

"Territory" means worldwide, excluding any country to which supply would breach applicable export-control or sanctions laws;

1.2 Clause, schedule and paragraph headings do not affect interpretation. A reference to a statute is a reference to it as amended or re-enacted. Words in the singular include the plural and vice versa. Any phrase introduced by “including” or “in particular” is illustrative and does not limit the preceding words.

1.3 The schedules form part of this Agreement and have effect as if set out in full in the body of this Agreement.

2. GRANT OF LICENCE

2.1 In consideration of the payments to be made under clause 5 and subject to the terms of this Agreement, the Licensor grants to the Licensee an exclusive (even as to the Licensor), royalty-bearing licence under the Licensed IP to develop, make, have made, use, market, sell and supply Licensed Products in the Field throughout the Territory for the Term.

2.2 The licence granted in clause 2.1 is exclusive within the Field only. The Licensor reserves all rights to exploit the Licensed IP outside the Field, including in consumer, automotive and mass-market mobile-device applications.

2.3 The Licensee may grant sub-licences of its rights under clause 2.1 to its Affiliates and, with the prior written consent of the Licensor (not to be unreasonably withheld or delayed), to third parties, provided that each sub-licence is consistent with and no broader than this Agreement and that the Licensee remains responsible for the acts and omissions of its sub-licensees as if they were its own.

2.4 The Licensor shall, within 30 days of the Effective Date, disclose to the Licensee the Licensed Know-How and shall provide up to 40 person-days of reasonable technical assistance during the first 12 months at no additional charge to enable the Licensee to use the Licensed Technology.

2.5 Nothing in this Agreement transfers ownership of any Licensed IP or grants the Licensee any rights other than those expressly set out in this Agreement.

3. DILIGENCE AND EXCLUSIVITY CONDITIONS

3.1 The Licensee shall use commercially reasonable endeavours to develop and commercialise Licensed Products in the Field and shall achieve first commercial sale of a Licensed Product no later than 36 months after the Effective Date.

3.2 If the Licensee fails to achieve first commercial sale within the period in clause 3.1, or fails to meet the Minimum Annual Royalty in any two consecutive years, the Licensor may by written notice convert the exclusive licence to a *non-exclusive* licence, such conversion to take effect 60 days after the notice unless the failure is remedied within that period.

3.3 The Licensee shall provide the Licensor with a written development report not less than once every six months during the Term setting out progress against the development plan in Schedule 3.

4. IMPROVEMENTS

4.1 Each party shall promptly disclose to the other any Improvement it makes during the Term.

4.2 Improvements made solely by the Licensor shall be owned by the Licensor and shall automatically be included in the Licensed IP at no additional charge. Improvements made solely by the Licensee shall be owned by the Licensee, who hereby grants to the Licensor a non-exclusive, royalty-free, worldwide licence to use such Improvements outside the Field.

4.3 Improvements made jointly by the Parties shall be owned jointly in equal undivided shares, and each party may exploit such joint Improvements within its respective field without a duty to account, subject to the licences granted under this Agreement.

5. FINANCIAL PROVISIONS

5.1 In consideration of the grant of the licence, the Licensee shall pay to the Licensor a non-refundable upfront fee of **£4,500,000** (four million five hundred thousand pounds), payable within 30 days of the Effective Date.

5.2 The Licensee shall pay to the Licensor a milestone payment of **£2,000,000** (two million pounds) in aggregate (each tranche a “Milestone”), payable in two tranches of £1,000,000 (one million pounds) each: the first tranche within 30 days of the first commercial sale of a Licensed Product, and the second tranche on the first anniversary of that first commercial sale.

5.3 The Licensee shall pay to the Licensor a running royalty of **six per cent (6.0%)** of Net Sales of Licensed Products (the “Royalty Rate”), calculated and paid quarterly in arrears.

5.4 From the third anniversary of the Effective Date, the Licensee shall pay to the Licensor a minimum annual royalty of **£750,000** (the “Minimum Annual Royalty”), against which running royalties actually paid in the relevant year shall be credited.

5.5 Within 30 days after the end of each Quarter the Licensee shall deliver to the Licensor a royalty statement showing Net Sales, the calculation of royalties due and any permitted deductions, and shall pay the royalty shown to be due.

5.6 All sums are exclusive of VAT, which shall be added where chargeable. Payments shall be made in pounds sterling by electronic transfer to the account notified by the Licensor. Late payment shall bear interest at 3% per annum above the base rate of the Bank of England from time to time.

5.7 The Licensee shall keep accurate records sufficient to verify royalties for six years. The Licensor may, on reasonable notice and not more than once a year, appoint an independent chartered accountant to inspect those records. If an inspection reveals an underpayment of more than 5% for the period audited, the Licensee shall bear the reasonable cost of the inspection.

6. MAINTENANCE AND ENFORCEMENT OF LICENSED PATENTS

6.1 The Licensor shall, at its own cost, prosecute and maintain the Licensed Patents in the jurisdictions listed in Schedule 1 and shall keep the Licensee reasonably informed of material developments.

6.2 Each party shall promptly notify the other of any actual or suspected infringement of the Licensed Patents within the Field of which it becomes aware.

6.3 The Licensor shall have the first right (but not the obligation) to take action against any infringement in the Field. If the Licensor does not commence action within 90 days of becoming aware of the infringement, the Licensee may take action in its own name, and the Licensor shall provide reasonable assistance at the Licensee's cost.

6.4 Any damages or other sums recovered in an enforcement action shall first be applied to reimburse the parties' costs pro rata, and the balance shall be apportioned 60% to the party that brought the action and 40% to the other party.

7. WARRANTIES

7.1 The Licensor warrants that: (a) it is the sole legal and beneficial owner of, or is otherwise entitled to license, the Licensed IP; (b) the Licensed Patents listed in Schedule 1 are subsisting and, so far as the Licensor is aware, the patent applications are being prosecuted in the ordinary course; (c) it has not granted and will not grant any licence within the Field that conflicts with the licence granted under this Agreement; and (d) so far as the Licensor is aware, the exercise of the licensed rights in the Field will not infringe the Intellectual Property Rights of any third party.

7.2 The Licensee warrants that it has full power to enter into and perform this Agreement and that it will comply with all applicable laws, including export-control and anti-bribery laws, in exercising the licensed rights.

7.3 Except as expressly set out in this Agreement, all warranties, conditions and terms implied by statute or common law are excluded to the fullest extent permitted by law. In particular, the Licensor does not warrant that any Licensed Patent will proceed to grant or that the Licensed Technology is fit for any particular purpose.

8. INDEMNITY AND LIMITATION OF LIABILITY

8.1 The Licensee shall indemnify the Licensor against all liabilities, costs and expenses arising out of any claim by a third party in respect of any Licensed Product manufactured or supplied by the Licensee, save to the extent the claim arises from the Licensor's breach of clause 7.1.

8.2 Neither party excludes or limits its liability for death or personal injury caused by negligence, for fraud, or for any liability that cannot lawfully be limited.

8.3 Subject to clause 8.2, neither party shall be liable for any loss of profit, loss of business, or any indirect or consequential loss.

8.4 Subject to clauses 8.2 and 8.3, the total aggregate liability of each party arising under or in connection with this Agreement, whether in contract, tort (including negligence) or otherwise, shall not exceed **an amount equal to 125% of the total sums paid and payable by the Licensee under this Agreement in the 12 months preceding the event giving rise to the claim**.

9. CONFIDENTIALITY

9.1 Each party shall keep confidential all confidential information of the other party (including the Licensed Know-How) and shall not use it except as permitted by this Agreement. This obligation survives termination for a period of seven years, save that the obligation in respect of trade secrets continues for so long as the information remains a trade secret.

9.2 The confidentiality obligations do not apply to information that is or becomes public other than through breach, is independently developed, or is required to be disclosed by law or a regulator, provided that reasonable notice of any such required disclosure is given where lawful.

10. EXPORT CONTROL AND COMPLIANCE

10.1 The Parties acknowledge that the Licensed Technology may be subject to UK export-control legislation and, where applicable, the export-control laws of other jurisdictions.

Each party shall be responsible, at its own cost, for obtaining and maintaining all export licences, authorisations and consents required for its own activities under this Agreement.

10.2 The Licensee shall not export, re-export or supply any Licensed Product or technical data in breach of applicable export-control or sanctions laws, and shall indemnify and hold harmless the Licensor against all liabilities, losses, costs and expenses arising out of or in connection with any breach by the Licensee of the export-control provisions of this clause 10.

11. TAX

11.1 If any withholding or deduction is required by law from a payment under this Agreement, the payer shall provide the payee with such assistance as may reasonably be required to claim relief under any applicable double-taxation treaty, but shall not be required to gross up the payment.

12. TERM AND TERMINATION

12.1 This Agreement takes effect on the Effective Date and, unless terminated earlier, continues until the expiry, lapse or invalidation of the last to expire of the Licensed Patents, after which the licence of the Licensed Know-How shall continue on a royalty-free, perpetual, non-exclusive basis within the Field.

12.2 Either party may terminate this Agreement with immediate effect by written notice if the other party commits a material breach that is not remediable or, if remediable, is not remedied within 30 days of notice, or if the other party becomes insolvent.

12.3 On termination (other than expiry under clause 12.1), all licences granted cease, save that the Licensee may sell off existing stocks of Licensed Products for up to six months subject to payment of royalties.

12.4 Clauses 1, 8, 9, 13 and any provision that by its nature is intended to survive shall survive termination.

13. GENERAL

13.1 **Assignment.** Neither party may assign or otherwise deal with this Agreement without the other's prior written consent, save that either party may assign to an Affiliate or to a successor of substantially the whole of its business on written notice.

13.2 **Entire agreement.** This Agreement constitutes the entire agreement between the Parties and supersedes all prior negotiations, including the heads of terms dated 11 March 2025, save that the non-disclosure agreement dated 4 February 2025 continues in respect of disclosures made before the Effective Date.

13.3 **Variation.** No variation of this Agreement is effective unless in writing and signed by or on behalf of each party.

13.4 **Third party rights.** A person who is not a party to this Agreement has no rights under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of it.

13.5 **Notices.** Notices must be in writing and delivered by hand or sent by pre-paid first-class post or email to the address of the relevant party set out above (marked for the attention of the company secretary).

13.6 **Counterparts.** This Agreement may be executed in any number of counterparts, each of which when executed constitutes an original, and all of which together constitute one agreement.

13.7 **Governing law and jurisdiction.** This Agreement and any dispute arising out of or in connection with it are governed by the law of England and Wales, and the Parties submit to the exclusive jurisdiction of the courts of England and Wales.

IN WITNESS WHEREOF this Agreement has been executed and delivered on the date first stated above.

Signed for and on behalf of VERIDIAN PHOTONICS LIMITED	Signed for and on behalf of MARRICK DEFENCE SYSTEMS PLC
..... Name: Dr Elaine Crawford Title: Director Date: 27 June 2025	..... Name: Fiona Deverell Title: Director Date: 27 June 2025

SCHEDULE 1 — THE LICENSED IP

Part 1 — Licensed Patents

Family / Reference	Title	Jurisdiction	Application / Patent No.	Status
VQ-1 (QIS-Core)	Chip-scale cold-atom inertial sensor	GB	GB2598411	Granted
VQ-1 (QIS-Core)	Chip-scale cold-atom inertial sensor	EP	EP4012345	Granted
VQ-1 (QIS-Core)	Chip-scale cold-atom inertial sensor	US	US11,654,321	Granted
VQ-2 (Atom-Trap)	Integrated magneto-optical trap on photonic chip	PCT/GB	WO2024/118822	National phase
VQ-3 (Bias-Cal)	Self-calibrating bias-drift compensation method	GB	GB2611904 (app.)	Pending

Part 2 — Licensed Know-How

(a) Atom-trap chamber fabrication process specifications (document set VQ-KH-100 series); (b) laser-cooling control firmware source and build configuration (VQ-KH-200 series); (c) bias-drift calibration datasets and algorithms (VQ-KH-300 series); (d) assembly, test and qualification procedures (VQ-KH-400 series).

SCHEDULE 2 — ROYALTY REPORTING TEMPLATE

Each quarterly royalty statement shall set out, by Licensed Product: units sold; gross invoiced amount; permitted deductions (itemised); Net Sales; Royalty Rate applied; royalty due; cumulative Minimum Annual Royalty credit; and amount payable.

SCHEDULE 3 — DEVELOPMENT PLAN AND MILESTONES

Phase	Activity	Target (months from Effective Date)
1	Know-how transfer and design integration	0–6
2	Engineering prototype and ruggedisation	6–15
3	Qualification testing and customer trials	15–24
4	First commercial sale	by 30